

Demand Without a Runway: Why the Alliance of American Football Failed

A data-driven case study of demand, revenue and capital in a one-season national football league, 2018-2019

Abstract. The Alliance of American Football (AAF) launched on February 9, 2019 with eight teams and national television distribution. Its opening CBS games drew roughly 2.9 to 3.3 million viewers, and announced attendance averaged about 15,300 per game through eight weeks. The league suspended operations on April 2 and filed for Chapter 7 bankruptcy on April 17, with about \$48.3 million in liabilities against \$11.3 million in assets and roughly \$0.5 million in cash. Combining a compiled dataset of 32 games with trade reporting on the league's finances, we find that the evidence does not support a simple lack-of-interest account. Demand was real but front-loaded: the week-2 audience fell 69%, more than in comparable spring-league launches. The decisive problem was financial. Reported year-to-date revenue of \$11.8 million covered about one week of a reported burn near \$10 million per week; the lead investor largely stopped funding after the first games; and the replacement owner paid about \$70 million of a publicly announced \$250 million. We score seven explanations on a transparent rubric and rank funder default and the revenue-to-burn gap first. Audited financials and the contested litigation record limit certainty.

1. Introduction

The AAF is usually remembered as a league that ran out of money. That is correct but incomplete, and the earlier version of this study overstated how much the public record could resolve. It treated the headline \$250 million commitment as an open question and relied on a single preliminary audience figure. This revision uses bankruptcy-filing figures, reported burn, and week-by-week audience data to ask a sharper question: *how large was the gap between what the league spent and what it earned, and why did no one close it?*

We make three contributions. We separate demand (audience and attendance) from financial sustainability (revenue, burn, funding). We replace a one-night audience claim with a week-by-week comparison against other spring-league launches. And we show, in weeks of operations, how far each pool of money actually went.

2. Data and corrections

The dataset covers eight team-seasons, eight leader records, eight weeks of announced attendance, three audience observations, and financial and timeline records. Financial figures for bankruptcy, burn and revenue come from filings as reported by CBS Sports, Law360 and Sports Business Journal, and from Front Office Sports for investor details. Audience comparisons come from Nielsen estimates reported by Sports Media Watch and Sports Business Journal.

Corrections to the earlier paper and workbook

(1) The 2.913 million opening figure is a fast-national estimate for a two-hour window; the final Nielsen figure for the CBS games was 3.25 million, and the all-network week-1 average was 1.95 million. The earlier chart compared a premiere with the XFL's 2023 season average, which is not like for like; Figure 1 now compares week 1 to week 2 across leagues. (2) The leaders sheet placed tackles and sacks under a

rushing-touchdown column; it is restructured. (3) The attendance mean of 15,292 is the mean of eight weekly averages and equals the 32-game mean (489,330 total). (4) The week-4-to-7 rebound is +70.3%, not +70.4%. (5) The XFL 2023 audience is cited as 622K, the USFL as 715K and the UFL as 816K in this workbook; the sister FCF dataset uses 695K and 832K for the last two, so these should be reconciled before any joint publication. (6) Source references of the form 'turn0search' were replaced with named publishers. (7) The old claim that San Antonio and Orlando drew substantially larger crowds is not supported by the workbook, which has no per-team attendance, and is removed.

3. Results

3.1 Demand: strong debut, steep decay

The opening was genuinely strong. CBS drew 3.25 million viewers, the largest non-NFL football audience since the 2001 XFL, and San Antonio posted the top local market rating. But the audience did not hold. The average week-1 audience of 1.95 million fell to 607,000 in week 2, a 69% decline, and the two week-3 games drew roughly 491,000 and 515,000. Figure 1 shows that the AAF retained 31% of its week-1 audience into week 2, versus 42% for the USFL in 2022, 50% for the XFL in 2023 and 68% for the XFL in 2020. Caution is warranted because the leagues used different broadcast mixes, but the AAF's fall was the steepest of the four.

Figure 1. The audience that arrived did not stay: week-2 drop versus other spring leagues

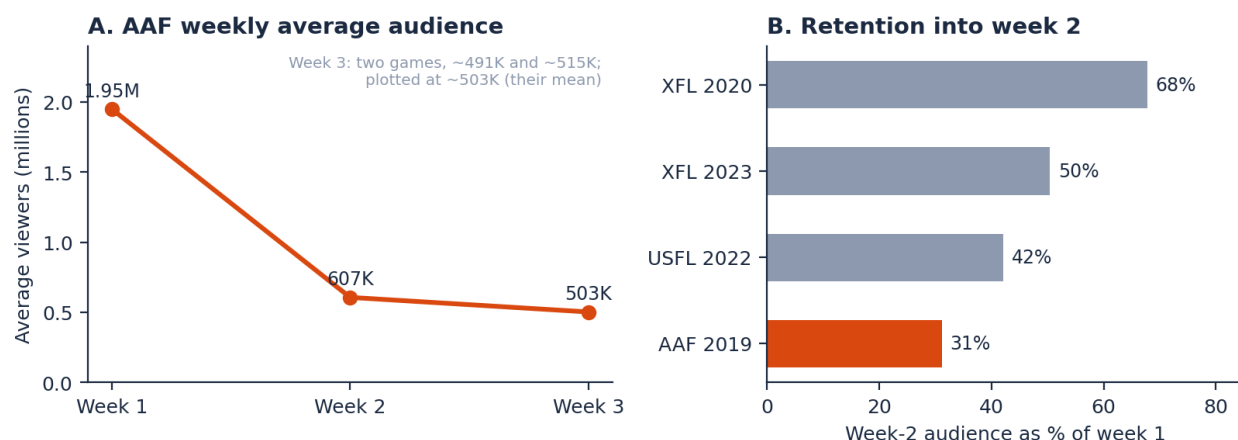


Figure 1. Left: AAF average audience, weeks 1-3. Right: week-2 audience as a share of week 1 for four spring-league launches (Nielsen estimates via Sports Media Watch and Sports Business Journal).

Attendance was moderate and uneven rather than weak. Announced attendance averaged 15,292 per game across 32 games, with a coefficient of variation of 21% across weeks. It fell 51% from week 2 to week 4, then recovered 70% by week 7 (Figure 2). Announced attendance is not turnstile count, and the dataset has no per-market breakdown, so we draw no conclusion about individual cities.

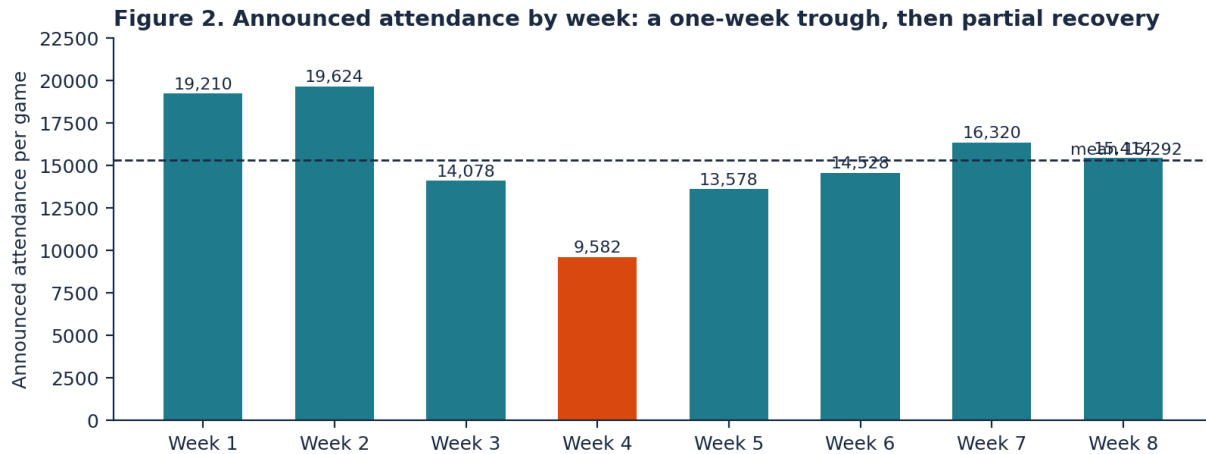


Figure 2. Announced attendance per game by week. The week-4 low is highlighted.

3.2 Competitive product

The football worked. Win percentage and point differential are strongly associated across the eight teams (Pearson $r = 0.89$, $p = 0.003$; Spearman $\rho = 0.96$, $p < 0.001$; $n = 8$, exploratory). Teams averaged 39.9 points per game. The league spread was wide: Orlando finished 7-1 with a +100 differential while Atlanta finished 2-6 at -125, a 225-point gap. Imbalance of that size is common in new leagues and is not itself a failure signal, but it limited late-season drama for fans watching weaker teams.

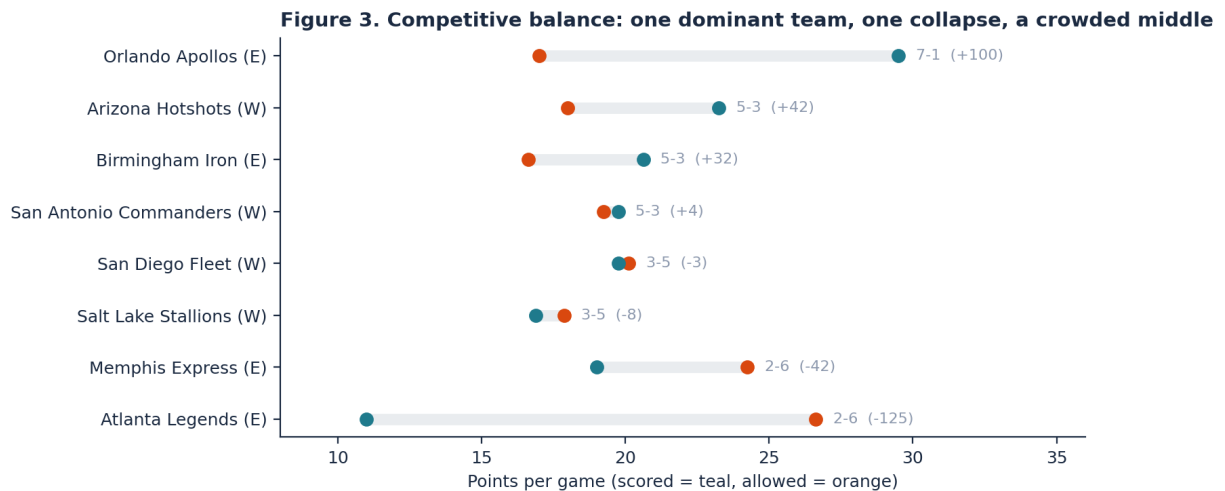


Figure 3. Per-game scoring, record and point differential by team. E = Eastern, W = Western conference.

3.3 Money: revenue, burn and the runway

The financial record is where the evidence is strongest. Sports Business Journal reported that the league lost roughly \$10 million per week, and its bankruptcy coverage cited \$11.8 million of revenue from the start of 2019. Those two figures are on different bases and period lengths, so they are not a profit and loss statement, but they point the same way: revenue covered about one week of burn.

Funding was thin and arrived late. Reginald Fowler, the lead prospective investor, was reported to have pledged \$50 million plus a \$120 million credit line, and invested about \$28 million, which carried the league through its first games. When his funding stopped, founder Charlie Ebersol sold control to Tom Dundon, who publicly announced a commitment of up to \$250 million. Reporting later showed the signed term sheet

specified \$70 million, the acquisition involved no equity purchase and an agreement to cover operating losses, and the trustee's filings state he paid about \$70 million. At a \$10 million weekly burn, \$28 million is 2.8 weeks of operations, \$70 million is 7 weeks and the announced \$250 million would have been 25 weeks (Figure 4). The announced amount was therefore never the number that mattered. The league also reportedly could not make \$5 million of first-week player payments and had a single official sponsor.

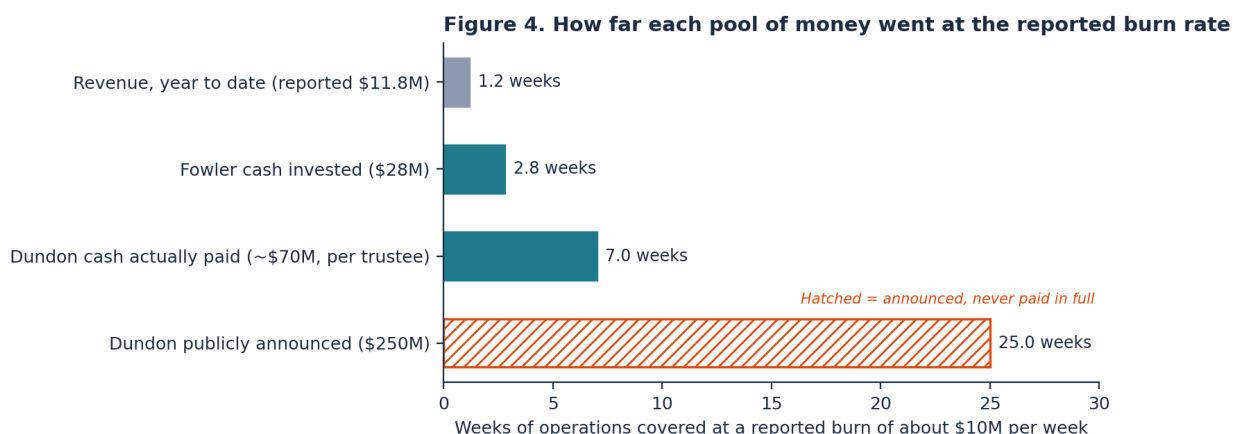


Figure 4. Weeks of operations covered by each reported pool of money at a \$10M weekly burn. The burn rate is a single trade-press estimate; treat the bars as order-of-magnitude.

The Chapter 7 petition filed April 17 listed \$48.3 million in liabilities, \$11.3 million in assets and about \$0.5 million in cash. Large creditors included MGM Resorts (\$7 million), CBS (\$5.2 million) and Arizona State University (over \$1.2 million). Figure 5 shows the balance sheet at filing.

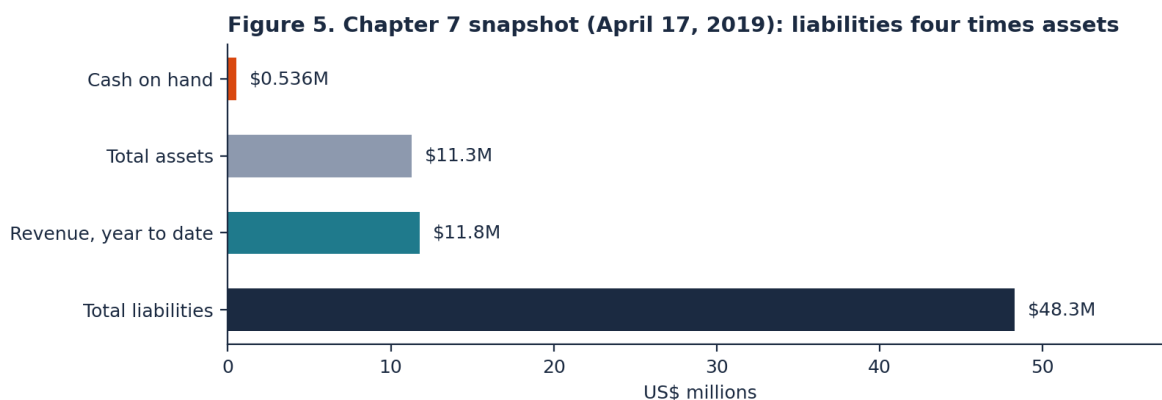


Figure 5. Reported position at the April 17, 2019 bankruptcy filing, with year-to-date revenue for scale.

Figure 6. From first kickoff to bankruptcy filing (schematic, x-axis not to scale)

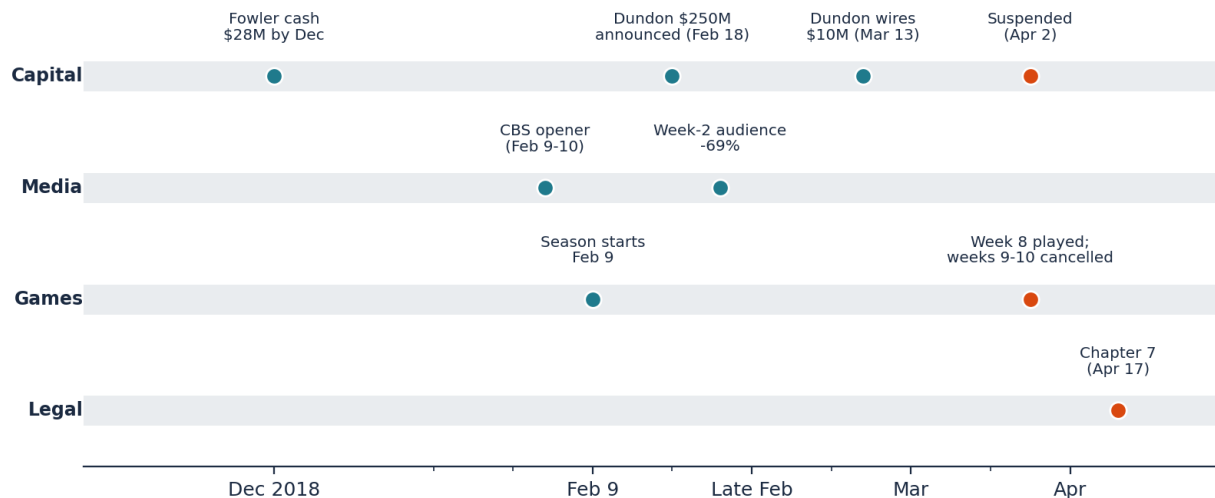
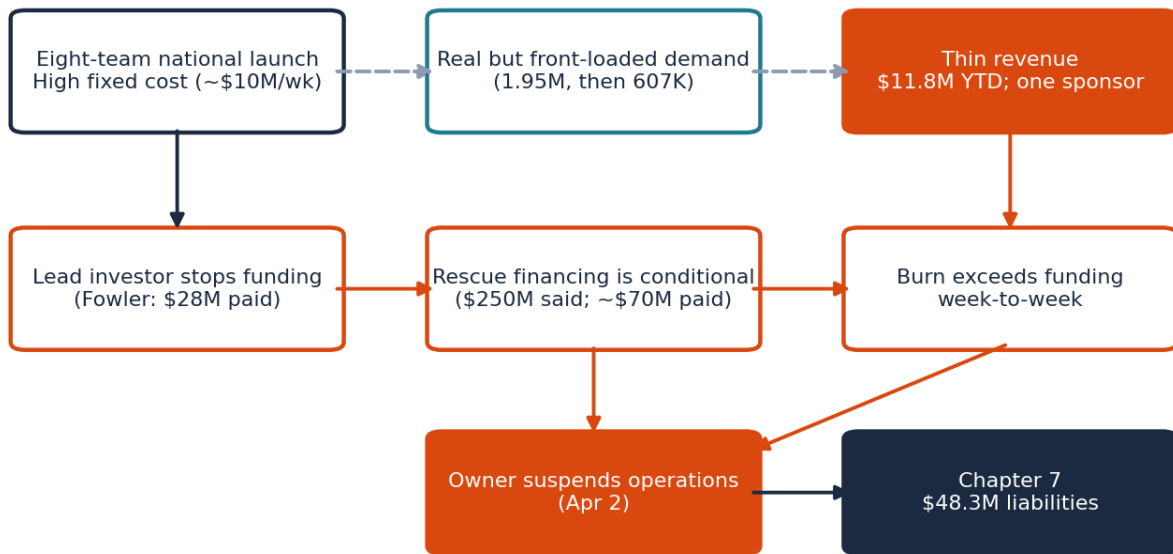


Figure 6. Capital, media, games and legal events from December 2018 to April 2019 (schematic).

4. Mechanism

Figure 7 summarizes the proposed chain. A fixed-cost-heavy, eight-team national launch met demand that was real but concentrated in the first weeks. Revenue stayed small. The lead investor stopped funding, the rescue financing proved conditional, and burn outran funding week to week. The trustee in the bankruptcy alleges that Dundon chose to shut the league down despite alternatives, and Dundon alleges he was misled about the league's finances. Those claims are contested and are not treated here as established; the paper's argument holds under either account because the underlying revenue-to-burn gap is documented independently of the dispute.

Figure 7. Proposed failure mechanism: funder default, then conditional rescue



Solid orange = chain documented in bankruptcy filings and trade reporting. Dashed grey = plausible link, thinner evidence. The trustee alleges the shutdown was a choice despite alternatives; that claim is litigated and not adjudicated here.

Figure 7. Working causal model. Solid orange arrows are documented in filings and trade reporting.

5. Competing explanations

Figure 8 scores each hypothesis 0-2 on whether the fact is documented, how directly it could cause shutdown, and whether the evidence is specific to the AAF. Scores are analyst judgments given for transparency, not measurements. Funder default and the revenue-to-burn gap tie at the top (6/6); they are two views of one problem. The owner's decision to stop funding scores 5/6 because the supporting claims are litigated. The rapid national launch and the audience decay score 4/6 each. Attendance (3/6) and competition from the 2020 XFL (2/6) score lowest: attendance was respectable for a startup, and the XFL's arrival was a future threat that the league never survived to face.

Figure 8. Evidence scoring (analyst-coded, 0-2 per criterion)

	Documented in public record	Causal proximity to shutdown	AAF-specific (not generic)
Capital runway / funder default [6/6]	2	2	2
Monetization gap (revenue vs burn) [6/6]	2	2	2
Owner decision to stop funding [5/6]	1	2	2
Rapid national launch [4/6]	2	1	1
Audience decay [4/6]	2	1	1
Attendance weakness [3/6]	1	1	1
Competition (XFL 2020 ahead) [2/6]	1	0	1

Figure 8. Rubric-based evidence scores. The scoring table is in the workbook so it can be re-coded.

6. Limitations

No audited AAF income statement, payroll ledger or media-rights economics are public, so revenue and burn rest on trade-press reporting on different bases. The \$10 million weekly burn is a single estimate. Audience comparisons span different broadcast configurations. The sample is eight teams and eight weeks, which supports description and exploratory association only. Litigation allegations are unproven. The evidence rubric is subjective.

7. Conclusion

The AAF did not fail because nobody cared; it failed because a league that cost about \$10 million a week earned about one week of that, depended on a lead investor who stopped paying, and was then rescued with a fraction of the headline pledge. The lesson for new leagues is that demand and capital are not substitutes. A strong opening can attract a rescuer's attention, but only recurring revenue or a funded runway keeps the lights on. Future work should obtain the trustee's financial exhibits and game-level audience data.

Appendix A. Selected statistics

Statistic	Value	Note
Mean announced attendance	15,292	32 games; 489,330 total
Attendance trough/recovery	-51.2% / +70.3%	Week 2 to 4 / week 4 to 7
Win% vs point diff (Pearson)	$r = 0.89$, $p = 0.003$	$n = 8$
Week-2 retention	31%	1.95M to 607K
Revenue covered	about 1.2 weeks	\$11.8M at \$10M/wk
Liabilities / assets	4.3x	\$48.3M / \$11.3M

Appendix B. Principal sources

Sports Business Journal (AAF bankruptcy and Dundon reporting, April 2019); CBS Sports (opening-night audience; Chapter 7 filing); Law360 (petition details); Sports Media Watch (Nielsen estimates for the AAF, XFL and USFL); Front Office Sports (investor and litigation reporting); Axios (filing summary); NFL.com (suspension); Football Database (standings and statistics). Full URLs are in the workbook's Sources sheet.